**IN THE NATIONAL COMPANY LAW TRIBUNAL**
**BENGALURU BENCH**

**CP(CAA)No.45/BB/2017**
**Under Section 230 to 232 of Companies Act, 2013**
**Order Delivered on: 21.12.2017**

**IN THE MATTER OF SCHEME OF AMALGAMATION**
**OF**
**MICROCHIP TECHNOLOGY (INDIA) PVT. LTD.**
**WITH**
**NMI INDIA PRIVATE LIMITED**

**Microchip Technology (India) Private Limited**
**No.149B, 1st Phase, EPIP Industrial Area**
**Whitefield**
**Bengaluru 560 066 .....Applicant Company No.1/Transferee Company**

**NMI India Private Limited**
**Unit No.610, 6th Floor**
**No.29, Prestige Meridian-I**
**MG Road**
**Bengaluru 560 001 ....Applicant Company No.2/Transferor Company No.2**

**Coram: Hon'ble Shri RatakondaMurali, Member (Judicial)**
**Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

**Parties Present : 1) Mr. Shreyas, Advocate, VGB Associates**
**No.23, 'Vasupuram', 3rd Floor**
**Muniswamy Road, Shivajinagar, Bengaluru 560 005**
**Advocate for the Petitioner Company**

**2) Ms. Sinchana MR, Standing Counsel for ROC & RD**

Heard on : 14.12.2017, 06.12.2017, 22.11.2017, 17.11.2017 and 24.10.2017

**Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical) - Author**

**ORDER**

This joint petition is filed by the Petitioner Company No.1 **M/s. Microchip Technology India Pvt. Ltd.**, Transferee Company and Petitioner Company No.2 **NMI India Pvt. Ltd.,** Transferor Company, on behalf of the Petitioners Companies under section 230-232 of the Companies Act, 2013, praying to order for sanctioning the Scheme of Amalgamation where under **NMI India Private Limited**, Transferor Company/Petitioner Company No.2 is proposed to be merged with **Microchip Technology India Pvt. Ltd.**, Transferee

Company/Petitioner Company No.1 w.e.f. 01.04.2016 and the entire business and undertaking including all movables and immovable and other assets of whatsoever nature and all licences, rights, privileges, claims etc., of the Petitioner Company No.2 be transferred without any further act or deed in favour of the Petitioner Company No.1 and the same be, pursuant to Section 232 of the Companies Act, 2013 stand transferred to and vested in the Petitioner Company No.1.

The Petitioners have also prayed for the following:

a. That with effect from the Appointed Date, all the employees of the Petitioner Company No.2 will become the employees of the Petitioner Company No.1 without any break or interruption in service;
b. That all the proceedings by or against the Transferor Company No.2 pending on the Appointed Date and relating to the property, rights, powers, liabilities, obligations and duties shall be continued and enforced by or against the Petitioner Company No.1.

The averments made in the Petition are as follows:

a. The Petitioner Company No. 1 viz., Microchip Technology (India) Private Limited is a Transferee Company and incorporated under the Companies Act, 1956 on January 17, 2000 and is presently having its registered office at No.149B, EPIP Industrial Area, 1st Phase, Whitefield, Bangalore 560066, represented by its Managing Director Mr. Sudarshan Iyengar..
b. The Petitioner Company No. 2 viz., NMI India Private Limited/Transferor Company, is a Company incorporated under the Companies Act, 1956 on October 09, 2013 and is presently having its registered office at Unit No. 610, 6th Floor, No.29, Prestige Meridian-1, MG Road, Bangalore 560001 represented by its Authorised Signatory Mr. Ananthapadmanabha Pai.
c. The Petitioner Company No.1/Transferee Company was incorporated on January 17, 2000, under the provisions of the Companies Act, 1956 under the name and style "Microchip Technology Designs (India) Private

Limited" CIN:U72200KA2000PTC026229, with the Registrar of Companies, Karnataka. Subsequently, the name was changed to "Microchip Technology (India) Private Limited" on February 7, 2008. An up-to-date copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Petitioner Company No.1/Transferee Company is annexed hereto and marked as **Annexure-B.**

d. The authorised, issued, subscribed and paid-up capital of Petitioner Company No.1/Transferee Company as on March 10, 2017, was as follows:

| **Authorised Capital** | **Amount (Rs.)** |
|---|---|
| 5,60,00,000 equity shares of Rs. 10/- each | 56,00,00,000 |
| **Issued, Subscribed and Paid-up Capital** | **Amount (Rs.)** |
| 5,56,09,308 equity shares of Rs. 10/- each fully paid-up | 55,60,93,080 |

e. The main objects of the Petitioner Company No.1/Transferee Company as set out in its Memorandum of Association are, *inter alia*, as follows:

i) To design, develop, test, manufacture, assemble, trade, contract, sub-contract, license, improve, maintain, service, supply, buy, sell, market, distribute, import, transport, export, exchange, support, implement or otherwise deal in all types, descriptions, shapes, sizes, capacities, volumes, varieties, specifications of soft-time, hardware and all other materials/products involving application of any kind of technology including but not limited to semiconductor integrated circuits, subset modules, macros for semiconductor integrated circuits, hardware/software applications, hardware technology including custom software applications, development systems, computer aided system designing, semiconductor products, computer and related accessories, peripherals, add-ons, accessories, upgrades, telecommunication equipment and all kinds of software tools including assemblers, compilers, simulators, graphical user interface and other related technologies etc., The Memorandum & Articles of Association is shown as Annexure-B.

f. As per the audited balance sheet made up to March 31, 2016, the summarised position of the assets and liabilities of the Petitioner Company No.1/Transferee Company was as follows:

| Liabilities | Amount (Rs.) | Assets | Amount (Rs.) |
|---|---|---|---|
| Share Capital | 48,59,72,680 | Non-Current Assets | 1,31,43,57,741 |
| Reserves and Surplus | 50,60,05,673 | Current Assets | 72,78,44,972 |
| Non-Current Liabilities | 53,85,72,407 | | |
| Current Liabilities | 51,16,51,953 | | |
| Total | 2,04,22,02,713 | Total | 2,04,22,02,713 |

A copy of the said audited balance sheet is produced herewith and marked as **Annexure-C.**

As per the latest unaudited balance sheet made up to March 10, 2017, the summarized position of the assets and liabilities of the Petitioner Company No.1/Transferee Company was as follows:

| Liabilities | Amount (Rs.) | Assets | Amount (Rs.) |
|---|---|---|---|
| Share Capital | 55,60,93,080 | Non-Current Assets | 1,75,44,02,919 |
| Reserves and Surplus | 99,85,47,642 | Current Assets | 1,57,91,01,813 |
| Non-Current Liabilities | 51,14,77,260 | | |
| Current Liabilities | 1,26,73,86,750 | | |
| Total | 3,33,35,04,732 | Total | 3,33,35,04,732 |

A copy of the said unaudited Balance Sheet is produced herewith and marked as Annexure-D.

The Petitioner Company No.2/Transferor Company was incorporated on October 09, 2013, under the Companies Act, 1956, under the name and style "NMI India Private Limited" CIN:U72200KA2013PTC071360 with the Registrar

of Companies, Karnataka. A copy of the Certificate of Incorporation, Memorandum and Articles of Association of NMI are annexed hereto and marked as **Annexure-E.**

The Registered office of the Petitioner Company No.2/Transferor Company is situated at Unit No.610, 6th Floor, No.29, Prestige Meridian-1, MG Road, Bangalore 560001.

The authorised, issued, subscribed and paid-up share capital of the Petitioner Company No.2/Transferor Company as on 31st March, 2016 was as follows:

| **Authorised Capital** | **Amount (Rs.)** |
|---|---|
| 10,000 equity shares of Rs. 10/- each | 1,00,000 |
| **Issued, Subscribed and Paid-up Capital** | **Amount (Rs.)** |
| 10,000 equity shares of Rs. 10/- each fully paid-up | 1,00,000 |

Subsequent to March 31, 2016 and till the date of filing of this petition with this Hon'ble National Company Law Tribunal, there has been no change in the share capital of Petitioner Company No.2/Transferor Company.

The main objects of the Petitioner Company No.2/Transferor Company as set out in its Memorandum of Association are, *inter alia*, as follows:

a. To develop RF system on chip solutions, broadcast, wireless connectivity and cellular markets.
b. To bring to market its unique technologies in providing complete systems solutions that are higher performance and lower power.
c. To provide customers with the most cost effective solutions by leveraging its technical know-how on a variety of applications.

As per the audited balance sheet made up to March 31, 2016, the summarized position of the assets and liabilities of the Petition Company No.2/Transferor Company was as follows:

| Liabilities | Amount (Rs.) | Assets | Amount (Rs.) |
|---|---|---|---|
| Share Capital | 1,00,000 | Non-Current Assets | - |
| Reserves and Surplus | (2,59,400) | Current Assets | 2,22,534 |
| Non-Current Liabilities | - | | |
| Current Liabilities | 3,81,934 | | |
| Total | 2,22,534 | Total | 2,22,534 |

A copy of the said audited balance sheet is produced herewith and marked as **Annexure-F.**

The benefits sought to be achieved by the amalgamation are as follows:

a. Greater integration and financial strength for the amalgamated entity, which would result in maximising overall shareholder value, and will improve the financial position of the amalgamated entity.
b. Improved organisational capability and leadership, arising from the pooling of human capital that has the diverse skills, talent and vast experience to compete successfully in an increasingly competitive industry.
c. Simplification of group structure by eliminating multiple companies.

It is submitted on behalf of the Petitioner that no investigation proceedings are pending against the Petitioner Company No.1/Transferee Company and Petitioner Company No.2/Transferor Company under Sections 235 to 251 or any other provisions of the Companies Act, 1956 or Sections 206 to 229 of the Companies Act, 2013.

Upon this Scheme becoming effective and in consideration for the Scheme of Amalgamation, Transferee Company shall, without any further application, act, instrument or deed, issue and allot equity shares, to the extent indicated below, to the members of Transferor Company No.1, holding fully paid-up equity shares in Transferor Company No.1 and whose names appear in the Register of Members of Transferor Company No.1, on the Effective Date or to such of their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognised by the Board of Directors of Transferor Company No.1 in the following propostion:

> *"631 (Six hundred thirty one) fully paid-up Equity Share of face value of Rs. 10/- each of Transferee Company shall be issued and allotted for every 1 (One) fully paid-up equity shares of face value of Rs. 10/- each held in Transferor Company No.1".*

It is submitted that the Scheme also does not affect the rights and interest of the creditors of the Petitioner Company No.1 and Petitioner Company No.2. The Scheme of Amalgamation is a contract between companies which will not affect the creditors of the Petitioner Company No.1 and Petitioner Company No.2.

The Counsel for the Petitioner has also further submitted through his Memo dated 23.08.2017, the valuation certificate of Chartered Accountant in support of the valuation and also submitted the affidavit of the Petitioners regarding notices to various authorities which are IT Department, Regional Director, Registrar of Companies and Official Liquidator and that there are no other authorities to whom notice is required to be sent since there is no sectorial authorities. Accordingly, notices were issued to all those authorities and Official Liquidator has submitted in his report on 26.09.2017, the following observations:

a. That the Official Liquidator has been served with a copy of the scheme of amalgamation in C.P. No.CAA/45/BB/2017 in Petition filed under

section 230-232 of the Companies Act, 2013 by NMI India Private Limited, the Transferor Company seeking thereby the orders of this Hon'ble Tribunal for approval of scheme of amalgamation between Transferor Company with Transferee Company. In this regard, the Official Liquidator is required to file his report after examining the books and records of the Transferor Company.

b. That this Hon'ble Tribunal may be pleased to permit the Official Liquidator to appoint a Chartered Accountant from the panel approved by the Hon'ble High Court of Karnataka for scrutiny of the books of accounts and records of the Transferor Company and to submit a report on the affairs of the Transferor Company with a concluding opinion that the affairs of the Transferor Company have not been conducted in a manner prejudicial to the interest of its members or general public.

c. That this Hon'ble Tribunal may also direct the Petitioner Company to pay professional fees of the Chartered Accountant as may be mutually agreed. Needless to submit that, in case, if Chartered Accountant charges exorbitant fee which is not acceptable to the Transferor Company, the Official Liquidator shall appoint other Chartered Accountant by cancelling the appointment of that Chartered Accountant.

d. Under the circumstances mentioned above, the Official Liquidator most respectfully prays for the following orders:

   i) To permit the Official Liquidator to appoint a Chartered Accountant from the panel maintained by the Official Liquidator for scrutiny of the books of accounts and records of the Transferor Company;

   ii) To direct that the Transferor Company to pay the Chartered Account, the professional fees as may be mutually agreed between them; and/or

   iii) To pass such other order or orders as this Hon'ble Tribunal may deem fit and proper in the above matter.

Based on the request of the Official Liquidator, he was allowed to appoint the Chartered Accountant as per his request submitted through his memo dated 26.09.2017.

The Official Liquidator has submitted its report on 13.11.2017 and made the following submissions:

"That R.G.N. Price & Co., Chartered Accountants appointed by this Hon'ble Tribunal, has concluded in their report dated 10.11.2017 as under:

We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of this scrutiny. Wherever required, we have relied on Statutory Audit reports. On the basis of books and reports made available and based on scrutiny of the books of accounts and records, we are of the opinion that:

a. The Transferor Company has maintained proper books of accounts, statutory registers and records as required by the Companies Act, 2013.
b. The affairs of the Transferor Company have been conducted in a manner not prejudicial to the interests of the members or the public.
c. Nothing has come to our attention during our review which causes us to believe that the affairs of the Transferor Company has not been carried out in the manner required by the Companies Act, 2013.

Copy of the report dated 10.11.2017 is enclosed herewith and marked as **Annexure-A.**

In the circumstances explained above, the Official Liquidator most respectfully submits that the application may be disposed off on its own merit after hearing the objections if any by other Sectorial Regulator and Transferor Company may be dissolved without winding up by this

Hon'ble Tribunal, and/or any further order/orders as may be deemed fit and proper in the facts and circumstances of the case may kindly be passed.

The IT Department has not submitted the Report, the Registrar of Companies has submitted its report vide its letter No. ROCB/LEGAL/CP(CAA)/45/BB/2017 dated 06.10.2017. The salient features of the Registrar of Companies report are as follows:

| | | |
|---|---|---|
| 1. | Object clause of the amalgamation u/s 230 of the Act | As per Scheme of Amalgamation, the objects of the scheme is to achieve greater integration and financial strength for the amalgamated entity, which would result in maximizing overall shareholder value and will improve the financial position of the amalgamated entity. It will also improve organisational capability and leadership, arising from the pooling of human capital that has the diverse skills, talent and vast experience to compete successfully in an increasingly competitive industry. |
| 2. | Share Exchange Ratio | As per Clause 9.2 of the Scheme, Transferee Company shall issue 631 fully paid-up Equity Shares of the face value of Rs. 10/- each for every 1 fully paid-up equity shares of the face value of Rs. 10/- each held in the Transferor Company No.1. |
| 3. | Whether sufficient for allotment of shares to the Transferor Company(s) | No, the Authorised Share Capital of the Transferee Company is not sufficient for issue of shares to shareholders of Transferor Company No.1 (No. 126,061 shares have been issued by the Transferor Company No.1 as per MCA records. So, the share exchange ratio is 631 equity shares for every 1 share held by shareholders in Transferor Company No.1. Hence, total shares to be issued by the Transferee Company is 631x16061=1,01,34,491 equity shares of Rs. 10/- each. The available Authorised Share Capital with the Transferee Company is Rs. 45,06,920/- only. (As per Clause 10.2 of the Scheme the authorised share capital of the Transfree Company is 56,06,00,000 - 55,60,93,000 (paid up capital) = 45,06,920. |
| 4. | Whether the object | Yes. Object clause of both Transferor and |

| | | |
|---|---|---|
| | clause of the companies under reference are same. | Transferee Companies are similar. |
| 5. | Filing position of Transferor and Transferree Companies and SCN issued if any. | Transferor Company No.1 has filed Annual Return and Financial Statements up to the financial year 2016.<br>Transferor Company No.2 has filed Annual Return and Financial Statements up to the financial year 2016.<br>Transferee Company has filed Annual Return and Financial Statements for the financial year 2016. |
| 6. | Details of attachments to Annual Filing e-forms are complete/legible? | Attachments to Annual Filing e-forms are Complete and Legible of Transferor Company No.1 for the financial year 2015-16.<br>Attachments to Annual Filing e-forms are Complete and Legible of Transferor Company No.2 for the financial year 2015-16.<br>Attachments to Annual Filing e-forms are Complete and Legible of Transferee Company for the financial year 2015-16. |
| 7. | Clause of Accounting Treatment. | Yes. At Clause No.11 of the Scheme of Amalgamation, Transferee Company shall account for amalgamation in accordance with the "Pooling of Interest Method" laid down by Accounting Standard-14 (AS-14) in the Accounting for Amalgamation Rules. |
| 8. | Observations, if any. | Clause 9.2 of the scheme, speaks about allotment of shares to the member of Transferor Company No.1 above and is silent about the allotment to the members of the Transferor Company No.2. |

The Managing Director of the Company has given an affidavit duly notarised on 14.08.2017 which states as follows:

> that, the Transferee Company hereby undertakes to increase the authorised capital at the time of allotment of shares in discharge of consideration pursuant to Scheme of Amalgamation and necessary e-forms would be filed along with payment of prescribed fees and stamp duty for increasing the authorised capital.

that the Transferee Company, shall takeover all the liabilities (including but not limited to income-tax liabilities) of the Transferor Company No.1 and Transferor Company No.2, as detailed in Clauses 4.3 and 8.1 of the Scheme of Amalgamation.

that the application filed by Transferor Company No.1 with National Company Law Tribunal, Chennai Bench for seeking approval of Scheme of Amalgamation has been approved by the Chennai Bench vide order dated September, 26, 2017. Copy of the order of National Company Law Tribunal, Chennai approving the Scheme of Amalgamation is annexed as Annexure-A.

The Managing Director of the Company has also submitted an affidavit dated 18.11.2017 confirming the following:

that, the Transferor Company No.1 and Transferee Company holds 9,900 equity shares and 100 equity shares respectively of Transferor Company No.2 and the same has been taken on record by the Board of Directors of Transferor Company No.2 vide Board meeting held on February 21, 2017 and the same has been annexed herewith as **Annexure-A**.

that, the Transferor Company No.2 has filed form MGT-6 for evidencing that the Transferee Company is the registered holder of 100 equity shares of Transferor Company No.2 and Transferor Company No.1 hold the same as beneficial owner. Copy of Form MGT-6 filed along with payment challan is annexed herewith as **Annexure-B**.

that, the Transferor Company No.2 has filed the annual returns for FY 2016-17 with Registrar of Companies vide Form MGT-7 and AOC-4 both the forms filed discloses that the shareholder of Transferor Company No.2 are Transferor Company No.1 and Transferee Company holding 9,900 equity shares

and 100 equity shares (beneficially held by Transferor Company No.1) respectively and the copy of Form MGT-7 and Form AOC-4 along with payment challan has been annexed herewith as **Annexure-C.** The Tribunal considers the Scheme is fair and is not opposed to public policy and it can be approved.

**THIS TRIBUNAL DO FURTHER ORDER**

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee company for all the state and interest of the Petitioner Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013 be transferred to and become the liabilities and duties of the Transferee company; and

The tax implications, if any, arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2016 subject to the order of Hon'ble NCLT, Chennai Bench at Chennai in whose jurisdiction the Registered Office of the Transferor Company is situated.

21/12/17

**(ASHOK KUMAR MISHRA)**
**MEMBER, TECHNICAL**

21.12.17

**(RATAKONDA MURALI)**
**MEMBER (JUDICIAL)**